

Tata AI Legal Intelligence

Executive Compliance & Risk Assessment Report | Job ID: 29cd46ba-6ce3-4b50-8efb-77f4e2f9d132

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Extracted Clauses & Risk Matrix

#1: CONFIDENTIALITY & COMPLIANCE

Risk: MEDIUM

Text: Each Party agrees to maintain the confidentiality of all Confidential Information disclosed by the other Party, provided that the Receiving Party may disclose such Confidential Information to its affiliates, subcontractors, and third-party advisors without the prior written consent of the Disclosing Party, and further provided that such confidentiality obligations shall expire three (3) years from the date of disclosure.

Rationale: - Permitting disclosure to subcontractors and third-party advisors without prior written consent deviates from the strict Tata Group NDA standard (POL-IND-2026-01) requiring express written authorization. - The 3-year survival limit is insufficient for highly sensitive Tata proprietary data and trade secrets, which should ideally survive indefinitely or for at least 5 to 7 years post-termination. - The absence of a mandatory requirement for subcontractors to sign back-to-back non-disclosure agreements of equal stringency increases downstream data breach risks.

#2: INDEMNIFICATION & LIABILITY

Risk: HIGH

Text: Except for breaches of confidentiality, neither Party shall be liable to the other for any indirect, incidental, special, or consequential damages. Notwithstanding anything to the contrary, the Provider's maximum aggregate liability under this Agreement shall be uncapped for any indemnification claims arising out of intellectual property infringement or third-party claims.

Rationale: - Uncapped liability for intellectual property infringement and third-party claims directly violates the Liability Capping & Indemnity Policy (RISK-CAP-99), which requires a defined financial cap (e.g., 1x or 2x annual contract value). - Broad indemnity triggers for all 'third-party claims' without requiring proof of gross negligence or willful misconduct expose Tata to disproportionate financial liabilities. - The exclusion of confidentiality breaches from the standard liability cap, combined with uncapped IP indemnity, leaves the company highly vulnerable to catastrophic financial exposure.

#3: GOVERNING LAW & JURISDICTION

Risk: HIGH

Text: This Agreement, and any dispute arising out of or in connection with it, shall be governed by and construed in accordance with the laws of the State of New York, USA, and the parties hereby submit to the exclusive jurisdiction of the state and federal courts located in New York County, New York.

Rationale: - Choosing New York state law and US federal/state jurisdiction directly violates the Standard Corporate Jurisdiction Guidelines (LAW-CORP-882), which mandate Indian governing law and Mumbai/Delhi courts for domestic contracts. - Litigation in New York courts significantly increases legal defense costs, introduces complex discovery mechanisms (such as US depositions), and creates severe logistical and cross-border enforcement burdens. - The clause fails to establish a multi-tiered dispute resolution system (e.g., mandatory executive escalation or international arbitration under SIAC/LCIA rules) prior to initiating formal court litigation.